

Volvo: rolling beyond hardware

Fun fact: the [first series-manufactured Volvo car](#), Jakob, and I share the same birthday: 14 April. The only difference is that it rolled out in 1927, while I got pushed out 56 years later.

You might not know much about the truck business, but you have probably seen Volvo's epic ads with Claes Nilsson or Jean-Claude Van Damme. They make trucks look rather heroic. The real transformation is less cinematic: Volvo Group is trying to make a very physical business more modular, connected and valuable long after the vehicle is sold.

Volvo is not rolling away from hardware. It is trying to stop hardware from being the whole story. Four moves stand out.

[1] STANDARDISATION

Volvo Group grew through brands such as Renault Trucks, Mack and Nissan Diesel. That history brings useful market reach and some serious complexity. [CAST - Common Architecture & Shared Technology](#) - is the Group's answer on the industrial side: modular technology shared across business areas, from engines and chassis to connectivity and electrification. The ambition is not to make every truck identical; it is to reuse what can be reused, while keeping room for a brand and an application to matter.

Then comes the more interesting move. In June 2025, Volvo Group and Daimler Truck launched [Coretura](#) to build the non-differentiating core: an open software-defined vehicle platform and a commercial-vehicle operating system. Two competitors have effectively agreed that some parts of the future truck should not be a competitive advantage. That is not a retreat. It is a bet that money and engineering attention are better spent on the layers customers actually notice.

[2] INFRASTRUCTURE

Electric trucks make little sense if the charging plan ends at the factory gate. Volvo Group, Daimler Truck and TRATON created [Milence](#) to build and operate a public, high-performance charging network for heavy-duty vehicles in Europe. Crucially, it is intended to work across brands. What good is an electric truck if you cannot charge it in the middle of nowhere?

This is co-opetition with a practical purpose. The charging network is too expensive and too dependent on geography, grid capacity and regulation for every manufacturer to recreate alone. Volvo is not just developing battery-electric products; it is helping build the conditions under which customers can use them.

[3] DIFFERENTIATION

The truck is not dead, and neither is the economics of building one well. But hardware specification alone is becoming a weaker moat. Lower-cost competition and rising industrial costs make it harder to win simply by producing another capable truck.

Volvo's chance is to compete on the operating outcome: uptime, productivity, safety, energy use and the quality of the service relationship. Connected products and digital applications matter

when they help a fleet keep a vehicle moving, make a better decision or avoid an unpleasant surprise. Software is not the product on its own. It is the ingredient that can make a premium physical product harder to replace.

[4] LIFECYCLE MONETISATION

The razor-and-blades analogy is not quite right here. Volvo is not selling cheap trucks in the hope of trapping someone into expensive consumables. The more accurate model is an uptime relationship: a truck remains useful, safer and more productive when the manufacturer can support it across its working life.

This is where data becomes commercial rather than decorative. It can support preventative maintenance, remote diagnostics, connected services and a better view of how a fleet operates. Volvo Group itself describes its services as increasing customer uptime and productivity. For the customer, that is less risk around a high-value asset. For Volvo, it is a chance to earn recurring value beyond the original sale. Sensible business, no ink cartridges required.

THE HARD PART: ORCHESTRATION

If these moves are so sensible, why is Volvo not the automatic case study for industrial transformation? Because innovation is probably not the binding constraint. Orchestration is.

First, standardisation brings transition pain before it produces scale. Volvo's [Q1 2025 results](#) described elevated costs from ramping up the all-new Volvo VNL and VNR in North America. That is the unglamorous reality behind a modern platform: new products, plants, suppliers and software do not arrive in perfect synchronisation.

Second, industrial cost structures do not flex as quickly as demand. Volvo Group's adjusted operating margin fell from [12.5% in 2024 to 10.7% in 2025](#) as sales and volume absorption declined, even while the company continued investing in the technologies needed for the next cycle. This is not a story about moving costs around on a spreadsheet. It is about funding conventional products, electrification, software and services at the same time.

Finally, shared architecture only pays off when legacy systems can be retired without disrupting customers or operations. My recommendation would not be a blanket outsourcing programme. It would be to ring-fence legacy platforms, expose stable interfaces where they are still needed, set firm end-of-life milestones and protect scarce engineering capacity for the shared architecture and customer-facing services. That is a hypothesis, not a reported Volvo policy - and it comes with trade-offs around supplier dependency and retained knowledge.

Volvo's strategic direction looks credible. The harder question is whether it can decide, with enough discipline and speed, what to share, what to modernise and where to keep differentiation. It is not trying to become a software company that happens to make trucks. It is trying to make the truck, the factory, the charging network and the service relationship work as one system.